Quarterly report

Q2 FY2027 · October to December 2026 · Prepared for members by the Board and the Finance team

At a glance

Northstar finished the half ahead of plan. Revenue rose **17.3%** on the same quarter last year, gross margin widened by three points, and the new *advisory* and *online* segments grew fastest. Membership growth and our net promoter score lag their targets; section 4 sets out how we will close the gap.

Revenue AUD 8.70 m, up 17.3% year on year

Gross margin 34.4%, up 3.1 points on Q1

Member retention 93.6%, the highest since 2019

Member rebate declared AUD 1.12 m, payable 28 February 2027

1 Scorecard

Five of the seven board measures are on track. Status reads On track when the quarter met or beat its target, and Watch when it fell short.

Table 1. Quarterly scorecard

Measure	Q1	Q2	Target	Status
Revenue (AUD m)	7.42	8.70	8.40	**On track**
Gross margin	31.3%	34.4%	33.0%	**On track**
Active members	18,240	19,105	19,500	*Watch*
Member retention (12 months)	91.8%	93.6%	93.0%	**On track**
Orders delivered on time	95.1%	96.9%	96.0%	**On track**
Net promoter score	41	44	50	*Watch*
Lost-time injuries	2	0	0	**On track**

Both measures on Watch trail by small margins: active members are 395 short of the 19,500 target, and the net promoter score six points short of 50. Section 4 sets out how the Board will close each gap before the next report.

Members' meeting 12 March 2027, 10 am, Dubbo Showground pavilion

Next report Q3 FY2027, published April 2027

2 Trading performance

Revenue climbed in every month of the quarter, lifted by an early harvest and strong fodder demand after a dry spring. December was the strongest month on record at **AUD 3.14 m**. Margin improved as we moved more volume through direct contracts and less through spot purchasing.

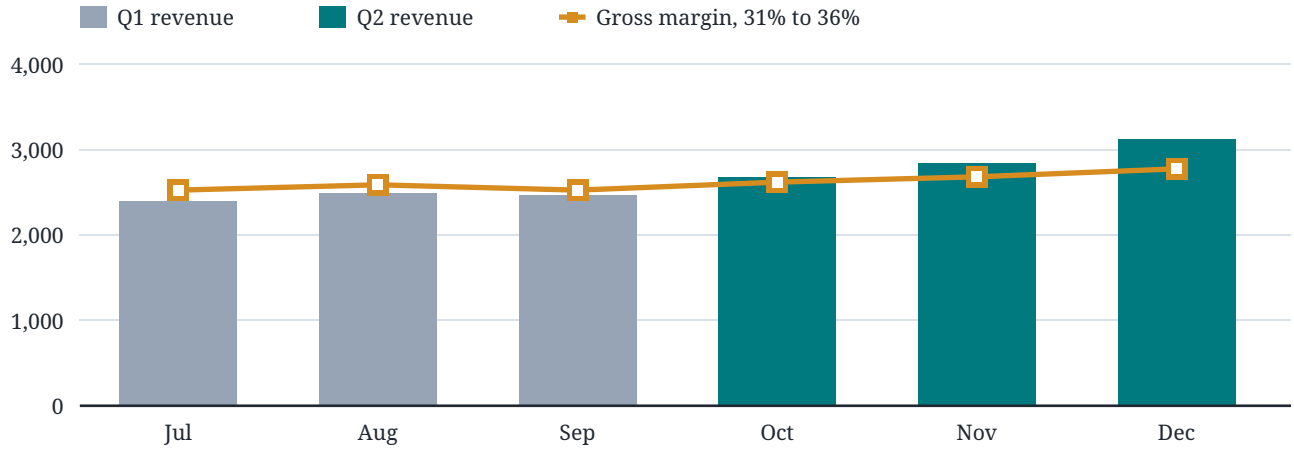

Figure 1. Monthly revenue in AUD thousands, July to December 2026, with gross margin

Table 2. Monthly revenue in AUD thousands and gross margin, July to December 2026

Month	Jul	Aug	Sep	Oct	Nov	Dec
Revenue	2,410	2,530	2,480	2,690	2,870	3,140
Gross margin	31%	32%	31%	33%	34%	36%

2.1 Segment results

Grain and fodder remains our largest segment. Advisory services and the online store are still small, but together they contributed a fifth of the quarter's growth at well above the average margin.

Table 3. Results by segment, Q2 FY2027, revenue in AUD thousands

Segment	Revenue	Share	Growth	Margin
Grain and fodder	3,262	37.5%	+14.2%	29.8%
Farm supplies	2,436	28.0%	+9.6%	36.1%
Fuel and lubricants	1,705	19.6%	+4.1%	22.4%
Advisory services	853	9.8%	+31.5%	58.0%
Online store	444	5.1%	+62.0%	41.7%
Total	**8,700**	100.0%	**+17.3%**	34.4%

3 Progress against targets

Half of the financial year has elapsed, marked by the navy line. Teal tracks are at or ahead of that pace; amber tracks are behind it.

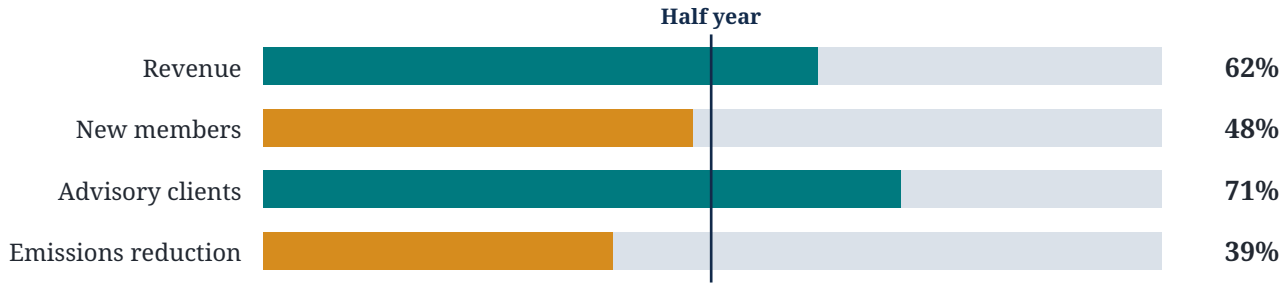

Figure 2. Progress toward FY2027 targets

- **Revenue** is 62% of the annual target, twelve points ahead of pace.
- *New members* are at 48%; winter field days usually add 300 more.
- **Advisory clients** reached 71% after the agronomy team doubled.
- *Emissions reduction* is at 39%; the solar array at the Dubbo depot is due in March.

4 Priorities for Q3

1. Lift membership through the autumn recruitment drive:
   - waive the joining fee for growers under 35;
   - run field days in Parkes, Forbes, and Cowra.
2. Raise the net promoter score by resolving delivery queries within one business day.
3. Commission the Dubbo solar array and report its first month of generation.

Members can read the full financial statements and the rebate schedule at northstar.example/members/reports. Questions for the Board may be sent to the company secretary before the members' meeting on **12 March 2027**.

5 Financial position

The balance sheet strengthened over the half. Operating cash flow funded the Dubbo solar array without new borrowing, and the Board has reaffirmed the **AUD 1.12 m** member rebate. Figures are unaudited and reported excluding GST.

Table 4. Summary balance sheet, AUD thousands

Item	Jun 2026	Dec 2026
Cash and deposits	4,180	5,025
Trade receivables	3,960	4,410
Inventory	6,720	6,105
Property, plant, and equipment	12,340	13,280
Borrowings	(3,500)	(3,100)
Other liabilities	(5,870)	(6,240)
Members' equity	17,830	**19,480**